Fuyao Glass (H/A)

3Q26 earnings miss mainly on one-off; maintain Buy

PO: 61.00 HKD | Price: 51.75 HKD

Revenue and GPM in-line despite challenging environment

Fuyao Glass (Fuyao) reported 3Q26 results and hosted a conference call. Revenue grew 2.5% YoY / 5% QoQ. Gross margin came in at 38%, broadly flat YoY and 0.2ppt below BofAe. Net income was RMB2bn, down 10% YoY / QoQ and below BofAe of RMB2.4bn, mainly due to: 1) an RMB210mn FX loss from RMB appreciation; 2) c.RMB100mn of non-operating expenses related to post-fire repairs at its Phase 2 US capacity; and 3) c.RMB70mn of one-off compensation expenses for quality defects. Management expects the latter two items to be covered by insurance in 4Q26 or 2027. Excluding FX gains/losses, 9M26 pretax profit grew 1% YoY.

ASP growth intact, supported by higher value-added mix

Auto glass revenue grew 3.8% YoY in 9M26, while domestic/overseas sales increased 5.5%/3.7% YoY. ASP rose 6.4% YoY in 9M26 despite negative impacts from 1) the US tariff refund in 2Q26 and 2) RMB appreciation. Adjusted for these factors, ASP growth reached 8.1% YoY in 9M26. The share of high-value-added products increased to 60%, up 7ppt YoY. In 3Q26, reported/adjusted ASP grew 4%/6.5% YoY.

Cut 2026E earnings by 8%; reiterate Buy

We factor in 3Q26 results and lower our 2026E earnings by 8%. We cut our PO for Fuyao-H to HKD61 from HKD71 and for Fuyao-A to RMB61 from RMB71, reflecting both our earnings revisions and a lower target multiple of 15x, from 17x previously (as we mark it to market), broadly in line with Fuyao's historical average P/E. We reiterate our Buy rating, as we continue to favor Fuyao's leading position in the auto glass industry, resilient ASP growth supported by a richer value-added product mix, and industry-leading profitability.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	7,498	9,312	8,375	10,861	12,385
EPS	2.87	3.57	3.21	4.16	4.75
EPS Change (YoY)	33.2%	24.2%	-10.1%	29.7%	14.0%
Consensus EPS (Visible Alpha)			3.75	4.46	5.10
Dividend / Share	1.80	2.10	1.93	2.50	2.85
Free Cash Flow / Share	1.18	2.26	1.37	2.27	3.36
Valuation (Dec)					
P/E	16.93x	13.02x	13.72x	10.58x	9.28x
Dividend Yield	3.70%	4.52%	4.37%	5.67%	6.47%
EV / EBITDA*	10.18x	8.35x	7.70x	6.78x	5.96x
Free Cash Flow Yield*	2.79%	5.33%	3.22%	5.36%	7.93%

* For full definitions of IQmethod℠ measures, see page 7.

21 October 2026

Equity

Key Changes

(CNY)	Previous	Current
Price Obj.	HK$71.00	HK$61.00
2026E EPS	3.49	3.21
2027E EPS	4.14	4.16
2028E EPS	4.72	4.75
2026E EBITDA (m)	14,210.2	13,950.1
2027E EBITDA (m)	15,796.7	15,858.0
2028E EBITDA (m)	17,934.4	18,029.4

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Stock Data

Rating (H Share)	**BUY**
Rating (A Share)	**BUY**
Price (H Shr / A Shr)	51.75 HKD / 51.28 CNY
Price Objective	61.00 HKD / 61.00 CNY
Date Established	21-Oct-2026 / 21-Oct-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	47.70 HKD- 72.50 HKD
52-Week Range	47.53 CNY- 69.06 CNY
Mkt Val / Shares Out (mn)	16,541 USD / 2,508.6
Market Value (mn)	129,821 HKD
Average Daily Value (mn)	18.60 USD
Free Float	100.0%
BofA Ticker / Exchange	FIGIF / HKG
BofA Ticker / Exchange	XFGIF / SHH
Bloomberg / Reuters	3606 HK / 3606.HK
Bloomberg / Reuters	600660 CH / 600660.SS
ROE (2026E)	22.0%
Net Dbt to Eqty (Dec-2025A)	-21.3%

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Refer to important disclosures on page 8 to 11. Analyst Certification on page 5. Price Objective Basis/Risk on page 5. **13030978**

iQprofile℠ Fuyao Glass (H/A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	39,252	45,787	47,369	52,599	60,373
Gross Profit	14,221	17,065	18,213	20,060	23,049
Sell General & Admin Expense	(4,355)	(5,077)	(5,394)	(5,663)	(6,500)
Operating Profit	8,336	10,331	10,865	12,427	14,253
Net Interest & Other Income	655	831	(830)	580	580
Associates	NA	NA	NA	NA	NA
Pretax Income	8,991	11,162	10,035	13,007	14,833
Tax (expense) / Benefit	(1,487)	(1,845)	(1,656)	(2,146)	(2,447)
Net Income (Adjusted)	7,498	9,312	8,375	10,861	12,385
Average Fully Diluted Shares Outstanding	2,610	2,610	2,610	2,610	2,610
Key Cash Flow Statement Data					
Net Income	7,498	9,312	8,375	10,861	12,385
Depreciation & Amortization	2,224	2,535	3,085	3,431	3,777
Change in Working Capital	(2,627)	(316)	(172)	(2,365)	(1,396)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,467	524	4	0	0
Cash Flow from Operations	8,562	12,055	11,293	11,926	14,766
Capital Expenditure	(5,481)	(6,164)	(7,730)	(6,000)	(6,000)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	5,537	65	200	200	200
Cash Flow from Investing	56	(6,099)	(7,530)	(5,800)	(5,800)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(3,393)	(4,698)	(5,480)	(5,025)	(6,517)
Cash Flow from Financing	(3,358)	(5,170)	(5,280)	(4,825)	(6,317)
Free Cash Flow	3,081	5,891	3,563	5,926	8,766
Net Debt	(6,983)	(7,995)	(6,277)	(7,379)	(9,828)
Change in Net Debt	(7,436)	(1,309)	1,718	(1,101)	(2,449)
Key Balance Sheet Data					
Property, Plant & Equipment	22,959	26,428	31,180	33,859	36,197
Other Non-Current Assets	3,892	4,288	3,982	3,671	3,357
Trade Receivables	10,891	11,834	9,968	14,242	13,547
Cash & Equivalents	18,785	19,274	17,756	19,058	21,707
Other Current Assets	6,728	8,237	8,858	9,887	11,191
Total Assets	63,254	70,062	71,744	80,717	85,998
Long-Term Debt	7,213	3,669	3,669	3,669	3,669
Other Non-Current Liabilities	2,367	3,275	3,275	3,275	3,275
Short-Term Debt	4,589	7,610	7,810	8,010	8,210
Other Current Liabilities	13,400	17,956	16,539	19,477	18,689
Total Liabilities	27,569	32,510	31,293	34,430	33,843
Total Equity	35,686	37,552	40,451	46,286	52,155
Total Equity & Liabilities	63,254	70,062	71,744	80,717	85,998
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	16.1%	18.3%	18.5%	20.0%	21.6%
Return On Equity	22.3%	25.4%	22.0%	26.5%	28.2%
Operating Margin	21.2%	22.6%	22.9%	23.6%	23.6%
EBITDA Margin	26.9%	28.1%	29.4%	30.1%	29.9%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.1x	1.3x	1.3x	1.1x	1.2x
Asset Replacement Ratio	2.5x	2.4x	2.5x	1.7x	1.6x
Tax Rate (Reported)	16.5%	16.5%	16.5%	16.5%	16.5%
Net Debt-to-Equity Ratio	-19.6%	-21.3%	-15.5%	-15.9%	-18.8%
Interest Cover	28.9x	32.1x	28.6x	38.8x	44.5x
Valuation (A-share)					
P/E	17.85x	14.37x	15.98x	12.32x	10.81x
Dividend Yield	3.51%	4.10%	3.75%	4.87%	5.55%
EV / EBITDA*	11.90x	9.76x	9.01x	7.92x	6.97x
Free Cash Flow Yield*	2.40%	4.58%	2.77%	4.61%	6.81%

* For full definitions of ***iQ***method℠ measures, see page 7.

Company Sector

Auto Parts

Company Description

Fuyao Glass is China's largest manufacturer of automotive glass for use by OEM and ARG customers, which contributed c.90% of the company's revenues. Fuyao also manufactures float glass, which is generally used in windows and also provides an adequate raw material supply of automotive grade float glass. Fuyao was initially listed on the Shanghai Stock Exchange in 1993 and on the Hong Kong Stock Exchange in 2015.

Investment Rationale

We have a Buy rating as we like: 1) Fuyao's ASP expansion together with mild volume growth, 2) resilient business model and industry leading position & market share.

Key Changes (A-sh)

(CNY)	Previous	Current
Price Obj.	71.00	61.00
2026E EPS	3.49	3.21
2027E EPS	4.14	4.16
2028E EPS	4.72	4.75

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Earnings review and revisions

Exhibit 1: Quarterly comparison
3Q26 earnings miss BofAe by 17%

RMB mn	3Q26 (A)	3Q26 (F)	Diff (%)	YoY	QoQ	2Q26	1Q26	4Q25	3Q25	2Q25	1Q25
Revenue	12,152	12,092	0.5%	2.5%	5.1%	11,558	10,413	12,486	11,855	11,537	9,910
COGS	7,529	7,473	0.8%	2.3%	8.9%	6,916	6,521	7,862	7,362	7,097	6,402
Gross profit	4,623	4,619	0.1%	2.9%	-0.4%	4,642	3,892	4,623	4,493	4,440	3,508
Operating exp	1,991	1,834	8.6%	9.7%	10.8%	1,798	1,713	1,970	1,816	1,721	1,483
Operating income	2,631	2,785	-5.5%	-1.7%	-7.5%	2,845	2,179	2,654	2,677	2,719	2,025
Pretax Income	2,487	2,980	-16.5%	-10.6%	-4.7%	2,610	2,028	2,585	2,783	3,308	2,486
Net Income	2,037	2,443	-16.6%	-9.9%	-9.8%	2,259	1,713	2,249	2,260	2,777	2,031
Net Income attribute to shareholder	2,036	2,442	-16.6%	-9.9%	-9.9%	2,259	1,712	2,248	2,259	2,775	2,030
EPS (RMB)	0.78	0.94	-16.6%	-9.9%	-9.9%	0.87	0.66	0.86	0.87	1.06	0.78
GM	38.0%	38.2%				40.2%	37.4%	37.0%	37.9%	38.5%	35.4%
Op. margin	21.7%	23.0%				24.6%	20.9%	21.3%	22.6%	23.6%	20.4%
NM	16.8%	20.2%				19.5%	16.4%	18.0%	19.1%	24.1%	20.5%
OPEX to sales	16.4%	15.2%				15.6%	16.5%	15.8%	15.3%	14.9%	15.0%

Source: BofA Global Research estimates, company report

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Exhibit 2: New vs. old estimates
We revise 2026E earnings down by 8%

	2026F			2027F			2028F		
(RMB mn)	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Consolidated sales	47,170	47,369	0.4%	52,259	52,599	0.7%	59,863	60,373	0.9%
Automotive glass - volume (mn sqm)	161	161	0.0%	167	170	1.7%	180	184	1.9%
Automotive glass - ASP (RMB/sqm)	267	269	0.5%	286	283	-0.9%	306	303	-0.9%
Gross Profit	18,267	18,213	-0.3%	19,947	20,060	0.6%	22,877	23,049	0.7%
Operating Profit	10,884	10,625	-2.4%	12,126	12,187	0.5%	13,918	14,013	0.7%
Pretax income	10,904	10,035	-8.0%	12,946	13,007	0.5%	14,738	14,833	0.6%
Net Income before minority	9,105	8,379	-8.0%	10,810	10,861	0.5%	12,306	12,385	0.6%
Net Income attribute to shareholder	9,101	8,375	-8.0%	10,810	10,861	0.5%	12,306	12,385	0.6%
EPS	3.49	3.21	-8.0%	4.14	4.16	0.5%	4.72	4.75	0.6%
Key ratios (%)									
Sales growth	3.0%	3.5%		10.8%	11.0%		14.6%	14.8%	
EPS growth	-2.3%	-10.1%		18.8%	29.7%		13.8%	14.0%	
Gross margin	38.7%	38.4%		38.2%	38.1%		38.2%	38.2%	
Operating margin	23.1%	22.4%		23.2%	23.2%		23.2%	23.2%	
Net margin	19.3%	17.7%		20.7%	20.6%		20.6%	20.5%	

Source: BofA Global Research estimates

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Exhibit 3: P&L summary
We expect earnings ex-FX gain/loss to grow by 7% YoY in 2026E

(RMB mn)	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26	4Q26	2026F
Revenue	9,910	11,537	11,855	12,486	**45,787**	10,413	11,558	12,152	13,246	**47,369**
Cost of goods sold	6,402	7,097	7,362	7,862	**28,722**	6,521	6,916	7,529	8,191	**29,156**
Gross profit	3,508	4,440	4,493	4,623	**17,065**	3,892	4,642	4,623	5,056	**18,213**
Promotion	299	326	321	382	**1,328**	324	326	406	411	**1,466**
Adm	683	850	896	975	**3,403**	806	843	895	1,007	**3,550**
R&D	423	460	510	520	**1,913**	506	527	592	570	**2,195**
Operating expenses	1,483	1,721	1,816	1,970	**6,990**	1,713	1,798	1,991	2,086	**7,588**
Operating income	2,025	2,719	2,677	2,654	**10,075**	2,179	2,845	2,631	2,969	**10,625**
Pretax income	2,486	3,308	2,783	2,585	**11,162**	2,028	2,610	2,487	2,910	**10,035**
Taxes or tax credit	455	532	523	335	**1,845**	316	351	450	540	**1,656**
Profit before minority	2,031	2,777	2,260	2,249	**9,317**	1,713	2,259	2,037	2,370	**8,379**
Minority interest	1	2	1	1	**4**	1	1	1	1	**4**
Net income	2,030	2,775	2,259	2,248	**9,312**	1,712	2,259	2,036	2,368	**8,375**
EPS (RMB)	0.78	1.06	0.87	0.86	**3.57**	0.66	0.87	0.78	0.91	**3.21**
Fully diluted shares (mn)	2,610	2,610	2,610	2,610	**2,610**	2,610	2,610	2,610	2,610	**2,610**
Operating Ratios										
Gross margins	35.4%	38.5%	37.9%	37.0%	**37.3%**	37.4%	40.2%	38.0%	38.2%	**38.4%**
Promotion	3.0%	2.8%	2.7%	3.1%	**2.9%**	3.1%	2.8%	3.3%	3.1%	**3.1%**
Adm	6.9%	7.4%	7.6%	7.8%	**7.4%**	7.7%	7.3%	7.4%	7.6%	**7.5%**
R&D	4.3%	4.0%	4.3%	4.2%	**4.2%**	4.9%	4.6%	4.9%	4.3%	**4.6%**
Operating margin	20.4%	23.6%	22.6%	21.3%	**22.0%**	20.9%	24.6%	21.7%	22.4%	**22.4%**
Pre-tax margin	20.5%	24.1%	19.1%	18.0%	**20.3%**	16.4%	19.5%	16.8%	17.9%	**17.7%**
Tax rate	18.3%	16.1%	18.8%	13.0%	**16.5%**	15.6%	13.4%	18.1%	18.6%	**16.5%**
Net margin	20.5%	24.1%	19.1%	18.0%	**20.3%**	16.4%	19.5%	16.8%	17.9%	**17.7%**
YoY %										
Revenue	12.2%	21.4%	18.9%	14.1%	**16.7%**	5.1%	0.2%	2.5%	6.1%	**3.5%**
Gross profit	7.8%	23.8%	16.1%	31.6%	**20.0%**	10.9%	4.5%	2.9%	9.3%	**6.7%**
Operating income	17.7%	31.3%	21.8%	20.6%	**23.0%**	7.6%	4.6%	-1.7%	11.9%	**5.5%**
Net income	46.3%	31.5%	14.1%	11.4%	**24.2%**	-15.7%	-18.6%	-9.9%	5.3%	**-10.1%**
Fully diluted EPS	46.3%	31.5%	14.1%	11.4%	**24.2%**	-15.7%	-18.6%	-9.9%	5.3%	**-10.1%**
QoQ %										
Revenue	-9.4%	16.4%	2.7%	5.3%		-16.6%	11.0%	5.1%	9.0%	
Gross profit	-0.2%	26.6%	1.2%	2.9%		-15.8%	19.3%	-0.4%	9.4%	
Operating income	-8.0%	34.3%	-1.6%	-0.9%		-17.9%	30.5%	-7.5%	12.9%	
Net income	0.5%	36.7%	-18.6%	-0.5%		-23.9%	32.0%	-9.9%	16.3%	
Fully diluted EPS	0.5%	36.7%	-18.6%	-0.5%		-23.9%	32.0%	-9.9%	16.3%	

Source: BofA Global Research estimates, company report

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Price objective basis & risk

Fuyao Glass (FIGIF)
Our PO for Fuyao-H of HKD61 is based on 15x over avg 2026-2027E EPS which is in line with the company's historical average as we believe Fuyao's steady market share gain and increasing value-added content momentum to continue.

Downside risk: 1) fails to utilize its overseas manufacturing facilities fully, 2) auto market weakens, 3) Oil/gas prices shoot up, as energy costs are a major cost component, 4) Fuyao fails to execute its product mix upgrade and ASP improvement, 5) uptake of sunroof sales slows, 6) large RMB appreciation due to overseas revenue, 7) further development from the investigation could disrupt operation, and growth of its US subsidiaries.

Upside risks: 1) R&D breakthroughs in value-added glass products, 2) margin upside from an ASP increase, 3) faster vehicle penetration increase in China, 4) rapid scale-up in overseas plant utilization.

Fuyao Glass (XFGIF)
Our Fuyao-A PO of RMB61 is based on 15x over avg 2026-2027E EPS (same as our H-share valuation), plus 1-year average A-H premium of 9%.

Downside risk: 1) fails to utilize its overseas manufacturing facilities fully, 2) auto market weakens, 3) Oil/gas prices shoot up, as energy costs are a major cost component, 4) Fuyao fails to execute its product mix upgrade and ASP improvement, 5) uptake of sunroof sales slows, 6) large RMB appreciation due to overseas revenue, 7) further development from the investigation could disrupt operation, and growth of its US subsidiaries.

Upside risks: 1) R&D breakthroughs in value-added glass products, 2) margin upside from an ASP increase, 3) faster vehicle penetration increase in China, 4) rapid scale-up in overseas plant utilization.

Analyst Certification

I, Jessie Lo, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	ARCHION	XKBNP	543A JP	Shiro Sakamaki
	Ashok Leyland	XDBVF	AL IN	Gunjan Prithyani
	Astra International	PTAIF	ASII IJ	Jessie Lo
	Ather Energy	XWSZF	ATHERENE IN	Gunjan Prithyani
	Bajaj Auto	XBJBF	BJAUT IN	Gunjan Prithyani
	Bethel	XBETF	603596 CH	Joey Yang, CFA
	Bharat Forge	XUUVF	BHFC IN	Gunjan Prithyani
	BYD	BYDDF	1211 HK	Ming Hsun Lee, CFA
	BYD	XYMPF	002594 CH	Ming Hsun Lee, CFA
	BYD	BYDDY	BYDDY US	Ming Hsun Lee, CFA
	CALB	XCLSF	3931 HK	Ming Hsun Lee, CFA
	CATL	XMOQF	300750 CH	Ming Hsun Lee, CFA
	CATL	CTATF	3750 HK	Ming Hsun Lee, CFA
	CFMOTO	XCZOF	603129 CH	Joey Yang, CFA
	Chery Auto	XCAVF	9973 HK	Joey Yang, CFA
	DENSO	DNZOF	6902 JP	Shiro Sakamaki

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APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Desay SV	XGDFF	002920 CH	Joey Yang, CFA
	EVE	XEVEF	300014 CH	Ming Hsun Lee, CFA
	Fuyao Glass	XFGIF	600660 CH	Jessie Lo
	Fuyao Glass	FIGIF	3606 HK	Jessie Lo
	Geely	GELYF	175 HK	Ming Hsun Lee, CFA
	GS Yuasa	GYUAF	6674 JP	Shiro Sakamaki
	Hankook Tire	XHTRF	161390 KS	KJ Hwang
	Hero Motocorp	HRHDF	HMCL IN	Gunjan Prithyani
	Hesai	HSAI	HSAI US	Jessie Lo
	Hesai	XHGZF	2525 HK	Jessie Lo
	HL Mando	XMADF	204320 KS	KJ Hwang
	Honda Motor	HMC	HMC US	Shiro Sakamaki
	Honda Motor	HNDAF	7267 JP	Shiro Sakamaki
	Hyundai Motor India	XZHZF	HYUNDAI IN	Gunjan Prithyani
	Isuzu Motors	ISUZF	7202 JP	Shiro Sakamaki
	Joyson	XQMWF	600699 CH	Fiona Liang
	Joyson	XJYSF	699 HK	Fiona Liang
	Kia Corp	KIMTF	000270 KS	KJ Hwang
	Koito Manufacturing	KOTMF	7276 JP	Shiro Sakamaki
	Leapmotor	ZJLMF	9863 HK	Ming Hsun Lee, CFA
	Mahindra & Mahindra (M&M)	XKQRF	MM IN	Gunjan Prithyani
	Minth	MNTHF	425 HK	Fiona Liang
	Momenta	XJAOF	6880 HK	Joey Yang, CFA
	Nexteer	NTXVF	1316 HK	Joey Yang, CFA
	NHK Spring	NHKGF	5991 JP	Shiro Sakamaki
	Ninebot	XNLTF	689009 CH	Joey Yang, CFA
	Ningbo Tuopu	XNCGF	601689 CH	Joey Yang, CFA
	Pony AI	PONY	PONY US	Ming Hsun Lee, CFA
	Pony AI	XNPYF	2026 HK	Ming Hsun Lee, CFA
	RoboSense	RBSTF	2498 HK	Joey Yang, CFA
	Shenzhen Kedali	XWCSF	002850 CH	Jessie Lo
	Shuanghuan Driveline	XZSHF	002472 CH	Fiona Liang
	Sona Comstar	XBNXF	SONACOMS IN	Gunjan Prithyani
	Stanley Electric	STAEF	6923 JP	Shiro Sakamaki
	Sumitomo Rubber Industries	SMTUF	5110 JP	Shiro Sakamaki
	Suzuki Motor	SZKMF	7269 JP	Shiro Sakamaki
	Tata Motors CV	XTMCF	TMCV IN	Gunjan Prithyani
	Toyota Motor	TOYOF	7203 JP	Shiro Sakamaki
	Toyota Motor	TM	TM US	Shiro Sakamaki
	WeRide	WRD	WRD US	Ming Hsun Lee, CFA
	WeRide	WRDIF	800 HK	Ming Hsun Lee, CFA
	Wuxi Lead	XZSRF	300450 CH	Ming Hsun Lee, CFA
	Wuxi Lead	XLFDF	470 HK	Ming Hsun Lee, CFA
	XPeng Inc	XPEV	XPEV US	Ming Hsun Lee, CFA
	XPeng Inc.	XPNGF	9868 HK	Ming Hsun Lee, CFA
	Yadea	YADGF	1585 HK	Joey Yang, CFA
NEUTRAL				
	Aisin Corporation	ASEKF	7259 JP	Shiro Sakamaki
	Bridgestone	BRDCF	5108 JP	Shiro Sakamaki
	Bridgestone	BRDCY	BRDCY US	Shiro Sakamaki
	Eicher Motors	XEIMF	EIM IN	Gunjan Prithyani
	Escorts Kubota	XSCOF	ESCORTS IN	Gunjan Prithyani
	Great Wall Motor	GWLLF	2333 HK	Ming Hsun Lee, CFA
	Hyundai Mobis	HYPLF	012330 KS	KJ Hwang
	Hyundai Motor	HYMLF	005380 KS	KJ Hwang
	Li Auto	LI	LI US	Ming Hsun Lee, CFA
	Li Auto	LAAOF	2015 HK	Ming Hsun Lee, CFA
	Maruti	MUDGF	MSIL IN	Gunjan Prithyani
	Mazda Motor	MZDAF	7261 JP	Shiro Sakamaki
	NIO	NIO	NIO US	Ming Hsun Lee, CFA
	NIO	NIOIF	9866 HK	Ming Hsun Lee, CFA
	NIO	XLTWF	NIO SP	Ming Hsun Lee, CFA
	SAMIL (Motherson International)	XMSUF	MOTHERSO IN	Gunjan Prithyani
	Subaru Corp	FUJHF	7270 JP	Shiro Sakamaki
	Subaru Corp	FUJHY	FUJHY US	Shiro Sakamaki

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APR - Autos Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Toyo Tire	TOTTF	5105 JP	Shiro Sakamaki
	Toyoda Gosei	TGOSF	7282 JP	Shiro Sakamaki
	TVS Motors	XFKMF	TVSL IN	Gunjan Prithyani
	VOYAH	VOYHF	7489 HK	Ming Hsun Lee, CFA
	Xingyu Automotive Lighting	XLIXF	601799 CH	Joey Yang, CFA
	Yokohama Rubber	YORUF	5101 JP	Shiro Sakamaki
	Yutong Bus	ZHYUF	600066 CH	Fiona Liang
UNDERPERFORM				
	Aima Technology	XIHBF	603529 CH	Joey Yang, CFA
	BAIC Motor	BMCLF	1958 HK	Ming Hsun Lee, CFA
	Ehang	EH	EH US	Fiona Liang
	GAC	XGNHF	601238 CH	Ming Hsun Lee, CFA
	Great Wall Motor	XGWMF	601633 CH	Ming Hsun Lee, CFA
	Guangzhou Automobile Group	GNZUF	2238 HK	Ming Hsun Lee, CFA
	Huayu	XHASF	600741 CH	Fiona Liang
	Hyundai Wia	XWHYF	011210 KS	KJ Hwang
	Jardine Cycle & Carriage	JCYCF	JCNC SP	Jessie Lo
	Mitsubishi Motors	MMTOF	7211 JP	Shiro Sakamaki
	Motherson Sumi Wiring	XMWDF	MSUMI IN	Gunjan Prithyani
	Nextage	NXAGF	3186 JP	Shiro Sakamaki
	Nissan Motor	NSANF	7201 JP	Shiro Sakamaki
	Nissan Motor	NSANY	NSANY US	Shiro Sakamaki
	Ola Electric Mobility Limited	XOLAF	OLAELEC IN	Gunjan Prithyani
	SAIC Motor	XZNJF	600104 CH	Ming Hsun Lee, CFA
	Seres	XSRSF	601127 CH	Joey Yang, CFA
	Seres	XSGLF	9927 HK	Joey Yang, CFA
	Tata Motors Passenger Vehicles Limited	XTTSF	TMPV IN	Gunjan Prithyani
	Toyota Boshoku	TDBOF	3116 JP	Shiro Sakamaki
	Yongda	CYYHF	3669 HK	Joey Yang, CFA
	Zhejiang Sanhua	XZSIF	002050 CH	Jessie Lo
	Zhejiang Sanhua	ZSINF	2050 HK	Jessie Lo
	Zhongsheng Auto	ZHSHF	881 HK	Joey Yang, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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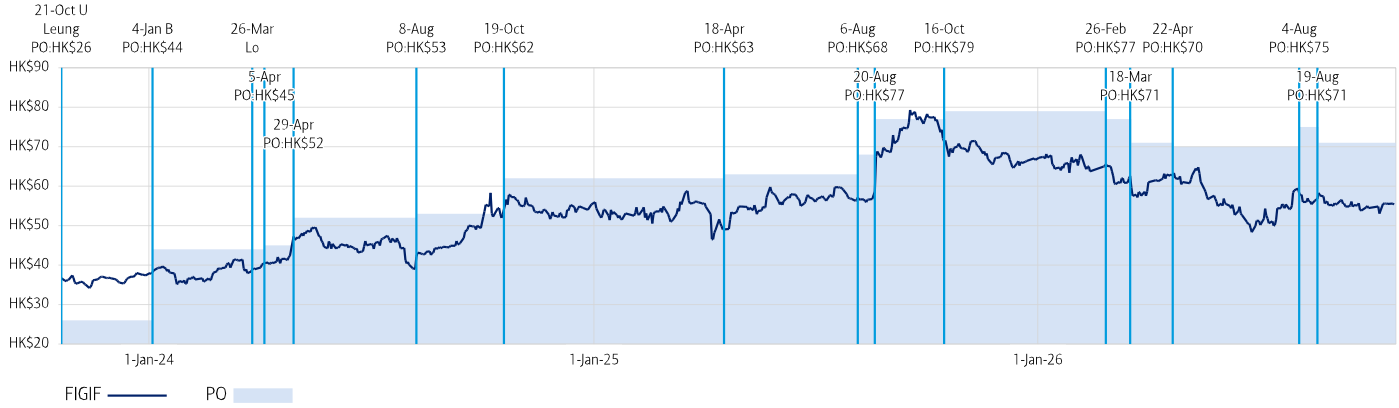
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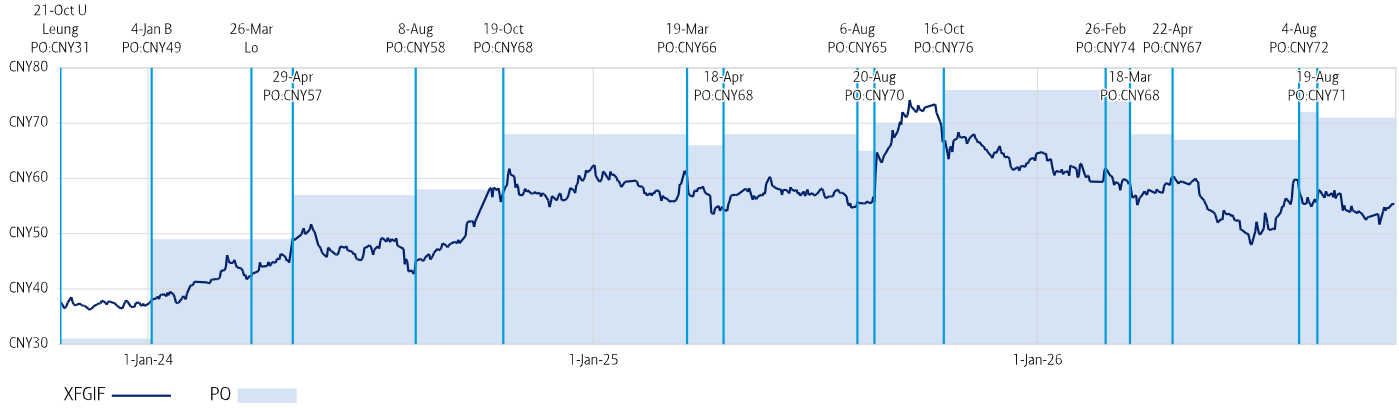
Fuyao Glass-H (FIGIF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Fuyao Glass-A (XFGIF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Autos Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	74	54.81%	Buy	46	62.16%
Hold	30	22.22%	Hold	21	70.00%
Sell	31	22.96%	Sell	18	58.06%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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